

Market Research and Competitor Analysis on

zepto

Presented By: PRAKHAR AGRAWAL

zepto

Problem Statement, Demographics and Market Research

- **Zepto** is an Indian instant grocery and e-commerce delivery service that guarantees delivery within 10 minutes or less by utilizing anetwork of strategically located warehouses called "**dark stores**" .
- Urban working professionals and students aged 18–35, living in metro cities, time-poor and digitally native, who need groceries instantly without planning ahead

Research Objective:
To understand why Zepto's dark store model struggles to scale profitably in Tier 2 and Tier 3 cities despite growing quick commerce demand across India.

Hypothesis:
Zepto's limited Tier 2/3 presence is a unit economics problem : dark stores need minimum order density to break even, which smaller cities currently can't sustain.



src: https://www.grabon.in/indulge/tech/quick-commerce-statistics/

Market Gaps & General Pain Points

90% dark stores in metros : Tier 2/3 users get no 10-minute delivery despite rising demand

App promises 8–13 mins, actual delivery takes 25–40 mins or gets cancelled [Play Store, May 2026]

Cart threshold ₹99→₹250 pricing out small basket users, pushing them to Blinkit [Reddit, 2026]

Missing items, no live support : only email, refunds take days [Play Store, Feb 2026]

src for playstore & reddit reviews: https://drive.google.com/drive/folders/1HuBNkpfaVtY1vMJsfcltuwfNgWq4nTOw

zepto

Market Research (Continued)

Secondary Research Questions

- What is Zepto's current order density per dark store in Tier 2 cities vs metro cities?
- What is the minimum daily order count required for a Zepto dark store to break even?
- How does Zepto's market share compare to Blinkit and Instamart in cities like Jaipur, Lucknow, and Indore?
- What has been Zepto's revenue growth rate in FY24 vs FY25 and how much comes from non-metro cities?

Primary Research Questions

- What was the last thing you ordered on Zepto and what made you open the app at that moment?
- What is the most frustrating thing you've experienced while using any grocery delivery app?
- Have you ever switched from Zepto to another app mid-week, what caused it?
- What would make you permanently stop using Zepto?
- Have you ever felt the delivery took longer than promised, what did you do next?

Consumer Trends

Rising expectations, shifting behaviour

70%+
urban Indians tried quick commerce

<15 min
now the baseline expectation

Shift from planned grocery trips → Impulse, need-based ordering

Technology Trends

Route Optimization and EV shift



AI / Automation Impact

- AI demand forecasting & auto rider assignment
- Orders packed in under 60s using AI-optimized layouts
- Tier 2 gap — AI needs historical data; new cities lack it

Geographic Trends

Concentration in metros, slow expansion to tier 2,3 cities



zepto

Competitor Analysis

Factor	zepto	blinkit	SWIGGY instamart	bigbasket now	Kirana (Indirect)
Market Share	~21%	~50%	~25%	<5%	Unorganised
Dark Stores	~1,100-1,200	2,100+	~1,100	~700	Local shops
Delivery Speed	10 min	10-15 min	15-20 min	15-30 min	Walk-in/call
Min. Order Value	₹99-₹199	₹99	₹99	₹200	None
Tier 2/3 Presence	Growing	Strong	130+ cities	Moderate	Everywhere
App Rating	4.7 ★	4.6 ★	4.5 ★	4.5 ★	N/A
Daily Orders	~3 lakh	~6 lakh	~5 lakh	~1.5 lakh	Untracked

src: https://www.akoi.in/blog/https-www-akoi-in-blog-india-quick-commerce/,https://www.storyboard18.com/trending/dark-stores-explained-how-blinkit-zepto-are-building-dense-networks-for-quick-commerce-growth-95233.htm,https://www.clickpost.ai/blog/quick-commerce-companies

zepto

SWOT Analysis and Market Sizing

Strengths

- Highest app rating : 4.7 on Play Store among all q-commerce players
- Fastest delivery : 10 min vs 15-20 min for competitors [Clickpost]
- AI-powered fulfillment : orders packed in under 60s [IJCRT]
- 65% transactions from 18-35 segment: strong core user loyalty [GrabOn]

Weakness

- 75% dark stores in top 10 metros: Tier 2/3 severely underserved [Franchise India]
- Lowest daily orders: 3 lakh vs Blinkit's 6 lakh [GrabOn]
- Cart threshold risen ₹99→₹250, pushing small basket users away [Reddit]
- No regional language support limits non-metro adoption [Play Store Review]

Opportunities

- Nashik crossed 1,000 daily orders in 6 weeks: Tier 2 demand is real [Franchise India]
- Q-commerce market growing 23.6% annually : $6.78B by 2025 [ResearchAndMarkets]
- Non-grocery categories growing 1.6x faster than grocery [Clickpost]

Threats

- Blinkit has 2,100+ dark stores: 2x Zepto's network [Storyboard18]
- Amazon Now planning 300 dark stores in top 3 cities [Equentis]
- Kirana stores offer credit, zero MOV, regional trust : hard to displace in Tier 2 [Primary Research]

Market Sizing

Top Down approach

TAM
India Q-Commerce Market — **$6.78B**

SAM
Metro+ viable Tier2 — **$2.4B**

SOM
Zepto's share — **~$500M**

Bottom-Up approach

Avg Order Value	**Rs 450**
Daily Orders	**3 lakh**
Monthly GMV	**Rs 405 Cr**
Annual GMV	**~Rs 4860 Cr ~ $500M**

src: https://www.franchiseindia.com/insights/en/article/beyond-metros-how-quick-commerce-players-are-expanding-to-tier-2-and-3-cities.55727 , https://www.franchiseindia.com/insights/en/news/zepto-to-add-150-new-dark-stores-in-next-quarter-sees-surge-in-tier-2-city-demand.56915

zepto

MAPPING THE USER JOURNEY

	HOME	SEARCH	PRODUCT SELECTION	ADD TO CART	CHECKOUT	PAYMENT	ORDER TRACKING	DELIVERY RECEIVED
GOAL	Find what's needed or spot a deal quickly	Find the exact item or a good alternative fast	Confirm details, price & quantity before adding	Hit MOV without adding unwanted items	Apply coupon & place order with minimal steps	Pay fast and get instant confirmation	Know exact ETA and rider location in real time	Get correct items & resolve issues instantly
ACTIONS	Scans banners & categories; Checks delivery ETA	Types keyword; Applies filters; Checks OOS alternatives	Reads description & images; Looks for combo/bulk options	Adjusts quantities for MOV; Removes items if over budget	Selects address & coupon; Reviews bill; Places order	Selects UPI/card/ wallet; Authenticates & confirms	Watches live map & ETA; Calls rider if delayed	Checks items; Rates delivery; Raises issue if item missing
PAIN POINTS	ETA not visible upfront; No repeat-order shelf	No regional language search; OOS items clutter results	Images mislead on pack size; No nutrition info on FMCG	MOV hiked ₹99→₹250; No free-delivery progress bar	Coupons expire silently; No scheduled delivery option	UPI timeouts at peak hours; Unclear if order was placed	10-min ETA becomes 25–40 min; No live chat support	Refunds take 3–5 days via email; No one-tap reorder
EMOTION	Curious	Neutral	Hopeful	Frustrated	Anxious	Tense	Impatient	Relieved
OPPORT-UNITIES	Show live ETA on home screen; Add 'order again' shelf	Enable Hindi/ voice search; Surface 'similar in stock' cards	Add label/ nutrition images; Show price-per-unit comparison	Restore ₹99 MOV in metros; Add cart progress bar	Show coupon expiry inline; Allow scheduled delivery slots	Add payment status indicator; Integrate BNPL (Simpl/LazyPay)	'Rider nearby' push alert at 2 min; Add in-app live chat	nstant wallet credit for missing items; Add 'reorder this cart' button

zepto

USER PERSONA



Priya Sharma

27 Software Engineer Bengaluru
Single 90k/month

> “I remember I'm out of milk when I'm already making coffee, I need it in 10 minutes, not tomorrow.

PROFILE

- Lives alone
- Works 9-7
- Uses Zepto, Blinkit and Instamart

GOALS

- Get essentials without planning ahead
- Avoid weekend grocery trips
- Save via deals & coupons

PAIN POINTS

- MOV hiked ₹99 → ₹250
- 10-min ETA becomes 30+ min
- Refunds take 3–5 days via email

BEHAVIOUR

- Orders 3–4×/week, avg ₹300–400
- Switches to Blinkit if ETA looks high
- UPI-only, fully mobile-first

MOTIVATIONS

- Speed over price
- Convenience is non-negotiable
- Loyalty if experience is reliable

Impulse Buyer | Time Poor | Metro User | Digitally Native | Multi-App Switcher

Features Suggestions for our User



ZEPTO FLEXPASS

Buy 5 MOV-free orders for just ₹49.
Place small, urgent orders without worrying about the ₹250 minimum.

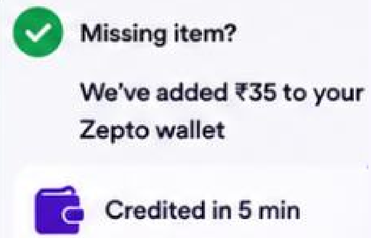
Freedom for emergency orders without extra add-ons



SMART REFILL ALERTS

Zepto predicts:
"You're likely running out of milk and oats this week."
One tap to reorder predicted essentials.

Prevents stock-outs through proactive replenishment



INSTANT WALLET CREDIT

Auto credit wallet within 5 minutes for missing/ damaged items — no emails, no waiting.

Builds loyalty through faster issue resolution

zepto

BYE BYE SLIDE

THANKYOU:)